

Structural Frame

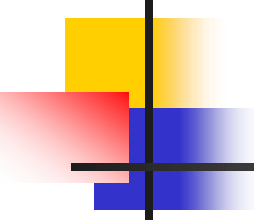
Prof. Connell F. Persico, Ph.D.

Alliant International University

Fall 2005

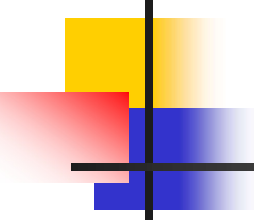
Jim Pham, Jo Rodgers, Leon Smith





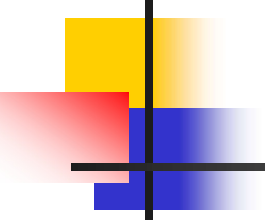
Overview

- Organizational structure
- Structural features
- Structural change and redesign
- Organizing groups and teams
- Class Exercise
- QA



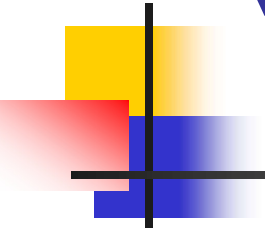
Part I -Frederick W. Taylor: The Principles of Scientific Management, 1911

- **President Roosevelt said: "The conservation of our national resources is only preliminary to the larger question of national efficiency."**
- **The whole country acknowledged the urgency of conserving our material resources and begin to think and act more along these terms.**



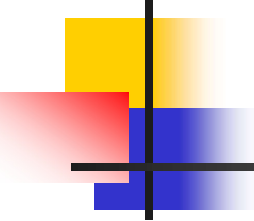
Organizational Structure

When a collection of people is faced with accomplishing a (complex) task, they must consider: how to divide the labor and how to coordinate their efforts. How this is done is referred to as “Organizational Structure”.



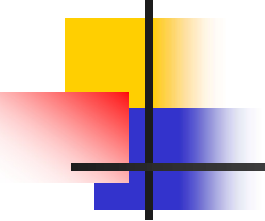
“Inefficiency”-Scientific Management

- **The great loss which the whole country is suffering through inefficiency in almost all of our daily acts.**
- **Convince the people that the remedy for this inefficiency lies in “systematic management,” rather than in searching for some hero.**
- **Prove the best management is a true science, relying upon clearly defined laws, rules, and principles. The fundamental principles of “scientific management” apply to all kinds of human activities, from our simplest individual acts to great corporations, demanding the most elaborate cooperation.**



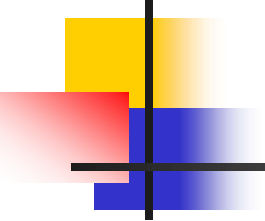
Fundamentals of Scientific Management

- **The principal object of management- to secure the maximum prosperity for the employer, coupled with the maximum prosperity for each employee.**
- **Business- highest state of excellence, so that the prosperity may be permanent. (Let's examine this idea more later).**
- **Scientific management has the firm conviction that the true interests of the employer/employee are one and the same.**



Permanent?

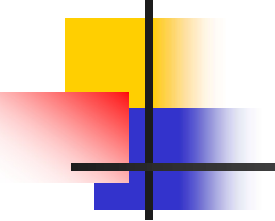
- **The prosperity for the employer cannot exist long term unless it is accompanied by prosperity for the employee and vice versa; and that it is possible to give the workman what he most wants-high wages-and the employer what he wants-a low labor cost-for his manufactures.**
- **The greatest prosperity can exist only when the greatest possible productivity of the men and machines of the establishment are such.**

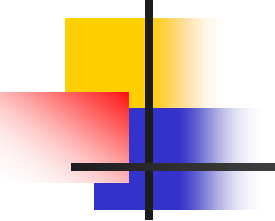


Universal...

- **Most important object of both the workmen and the management should be the training and development of each individual in the establishment, so that he can do (at his fastest pace and with the maximum of efficiency)**
- **The universal sentiment is so strong that any man who fails to give all there is in him in sports is branded as a "quitter," and treated with contempt by those around him.**

Authority

- 
- Modern world- On what basis do men and women claim authority over others? Why do men and women give obedience to authority figures?
 - Weber distinguished three main types of authority:
Traditional Authority, Rational-legal Authority and Charismatic
 - From birth, we are taught to obey those in positions of authority. The rank and file tend to look to the leaders for policy directives and are generally prepared to allow leaders to exercise their judgment.



Weber- bureaucracies are goal-oriented organizations designed according to rational principles in order to efficiently attain their goals. Offices are ranked in a hierarchical order, information flowing up the chain of command, directives flowing down.

Operations characterized by impersonal rules that explicitly state duties, responsibilities, standardized procedures and conduct of office holders. Appointments to these offices are made according to specialized qualifications rather than ascribed criteria.

All of these ideal characteristics have one goal- to promote the efficient attainment of the organization's goals

Pentagon-symbol of authority

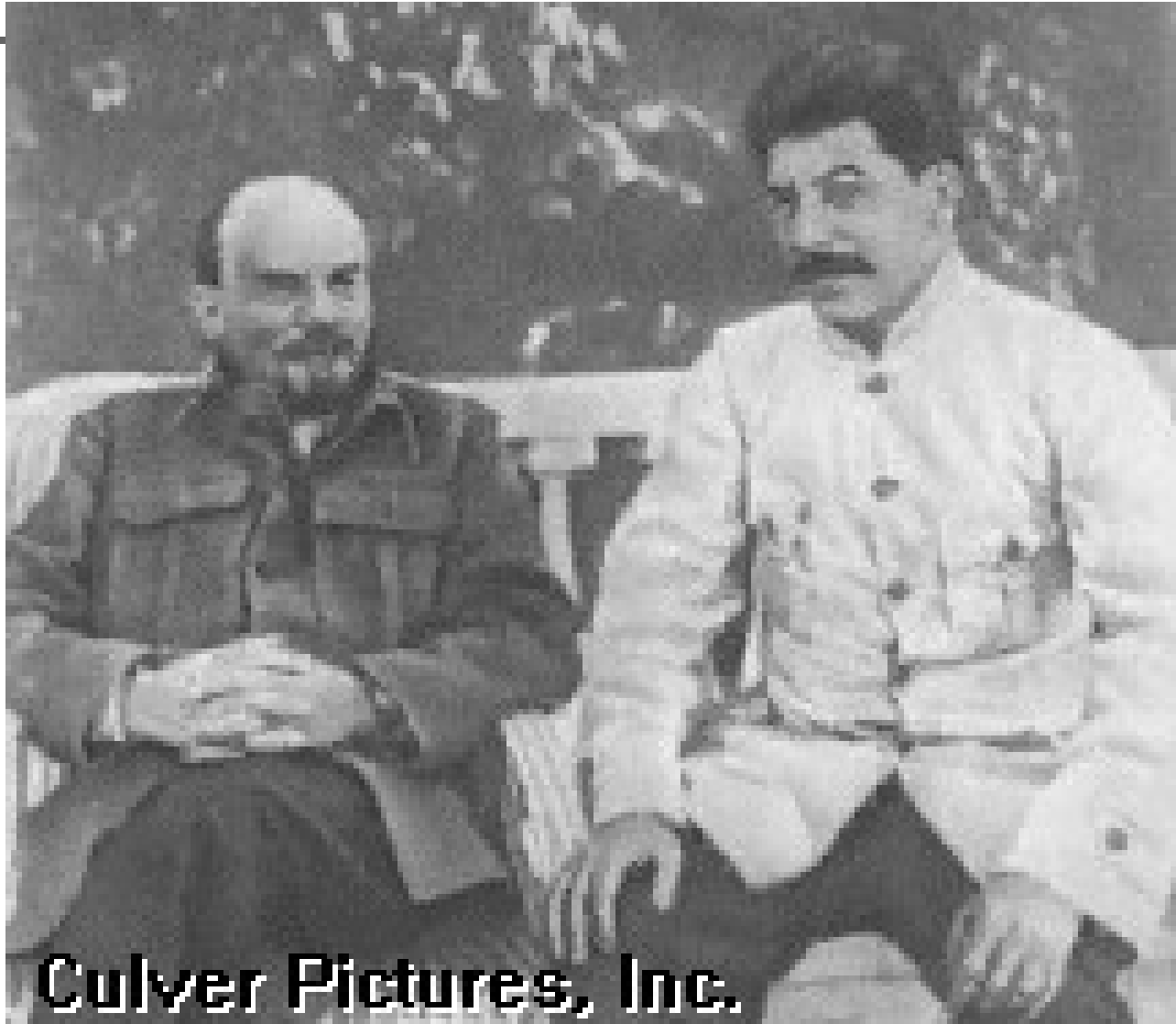


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Weber and Marx

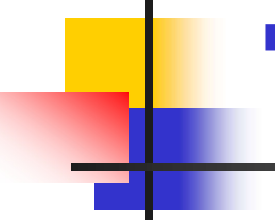
- **Weber believed that Marxist theory was too simplistic, reducing all to a single economic cause and attempts to round out Marx's economic determinism.**
- **"Weber's views about rationalization and bureaucratization of the world similar to Marx's notion of alienation. Both men agree that modern methods of organization have tremendously increased the effectiveness and efficiency of production. They agree that the new world of rationalized efficiency has turned into a monster that threatens to dehumanize its creators.**
- **Weber disagrees with Marx-alienation is only a transitional stage on the road to man's true emancipation.**

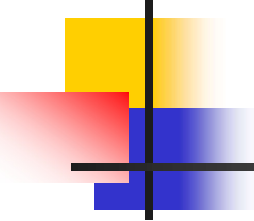
Lenin/Stalin-a lot in common with Weber



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Prince Charles Visit to U.S. 11/1

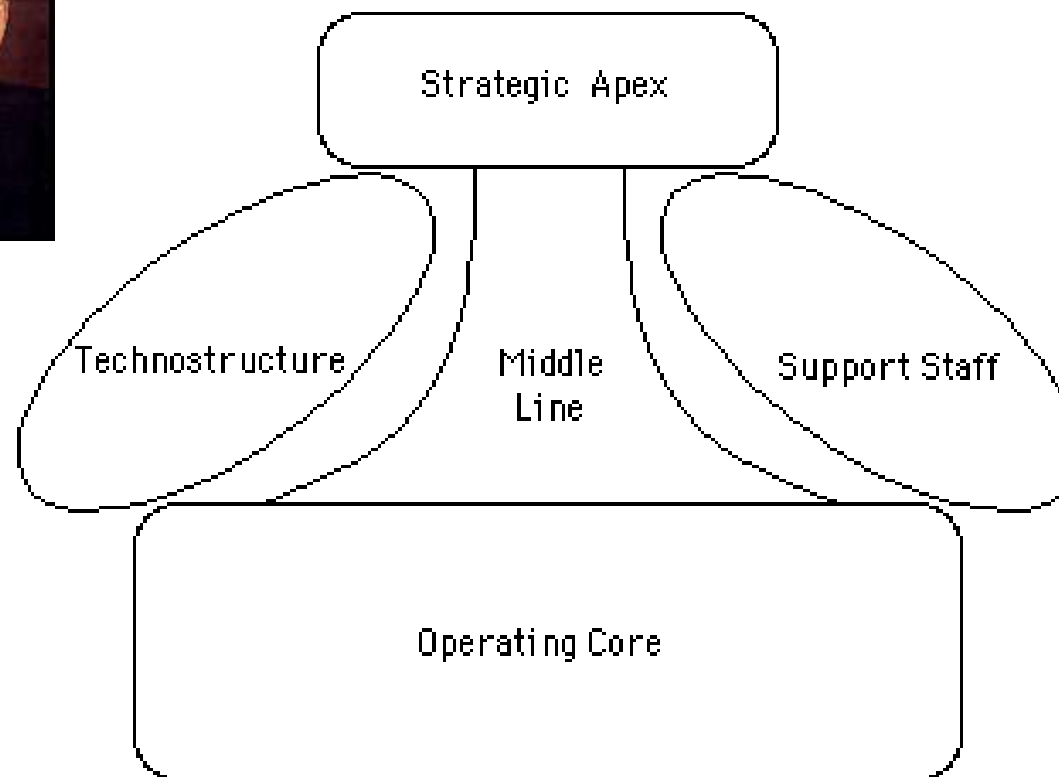
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- Prince Charles expressed concern that economic progress is "upsetting the whole balance of nature."
 - "You know, if you look at the latest figures on climate change and global warming ... they're terrifying, terrifying," "If you make everything over efficient, you suck out, it seems to me, every last drop of what, up to now, has been known as culture," Charles said in the interview, which was recorded last month in Poundbury, England.
 - "We are not the technology. It should be our ... slave, the technology. But it's rapidly becoming our master in many areas, I think."

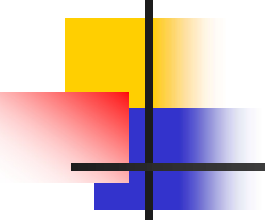


Structural dilemmas

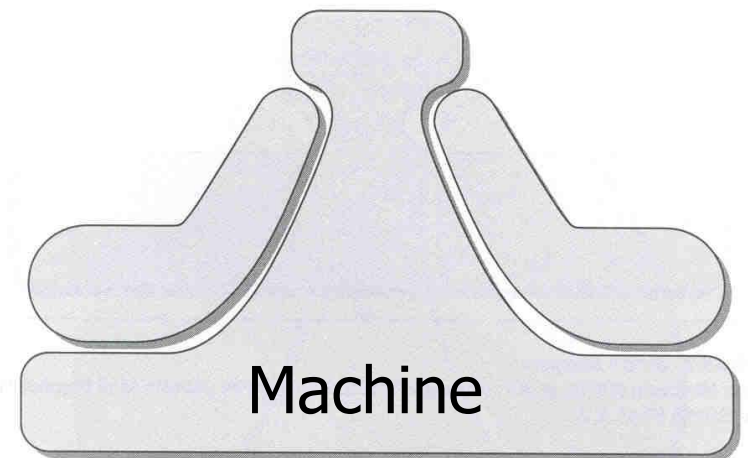
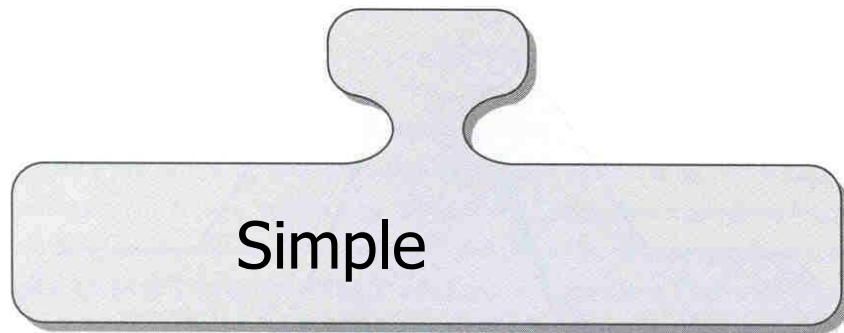
- Differentiation vs Integration
- Gap vs. Overlap
- Underuse vs. Overload
- Lack of Clarity vs. Lack of Creativity.
- Excessive Autonomy vs. Excessive Interdependence
- Too Loose vs. Too Tight
- Goalless vs. Goalbound
- Irresponsible vs. Unresponsive

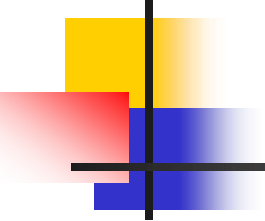
Mintzberg's 5 Basic Parts of an Organization



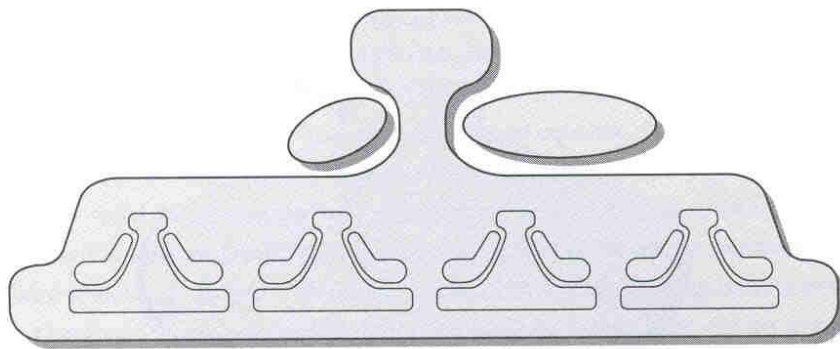


Mintzberg's five structural configurations

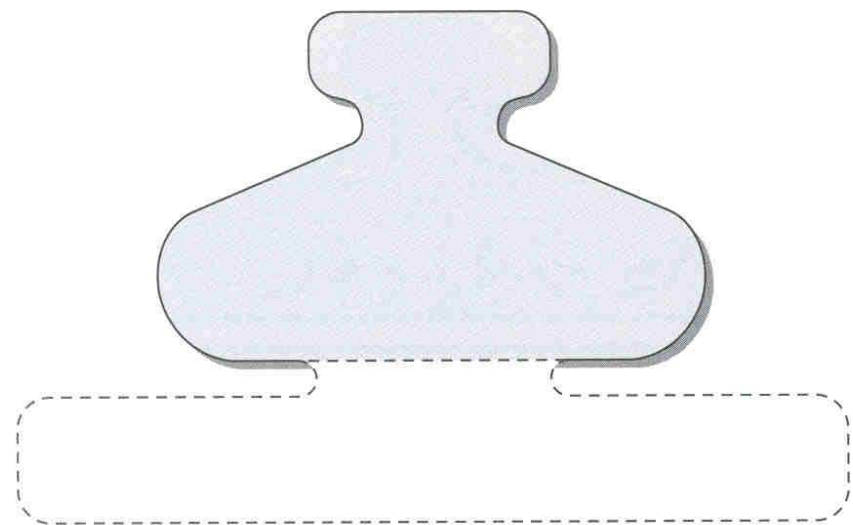




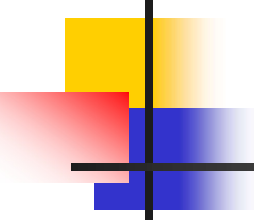
Mintzberg's five structural configurations



Divisionalized

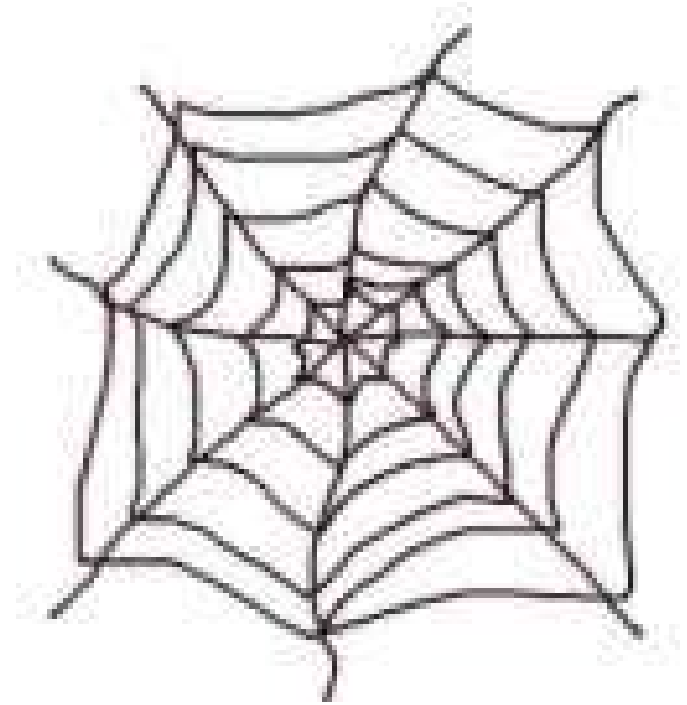


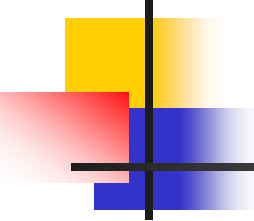
Adhocracy



Helgesen's Web of Inclusion

- circular vs. hierarchical
- interactive
- collaborative

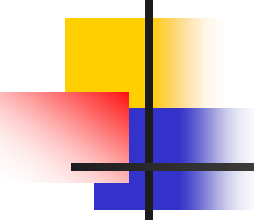




Why Restructure???

Organizations feel compelled to respond to problems or opportunities because

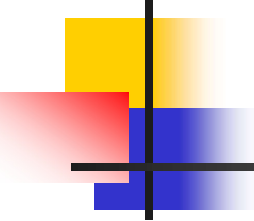
- The environment shifts
- Technology changes
- Organizations grow
- Leadership changes



Why Restructure???

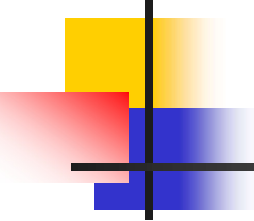
Miller and Friesen – troubled organizations:

- The impulsive firm
- The stagnant bureaucracy
- The headless giant



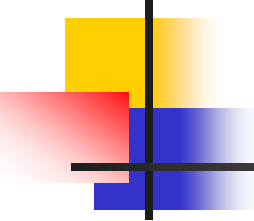
Change architects who were successful in implementing structural change:

- developed a new conception of the organization's goals and strategies
- studied the existing structure and process to understand the organization
- designed the new structure in light of changes in goals, technology and environment
- they experimented, retaining things that worked and discarded things that did not work



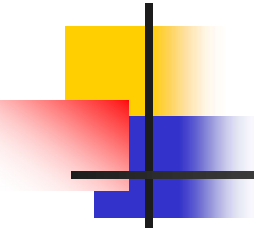
Definition of a group and a team?

A team is a group of individuals brought together in order to accomplish a task that cannot be effectively or efficiently completed by an individual. This group may be temporary or long term in nature. The length of time that the team will be together has a great effect on the ability of the individuals to work together. It may contain individuals of varying expertise in order to create cross-functionality in order to accomplish the assigned tasks in the most efficient and correct manner.



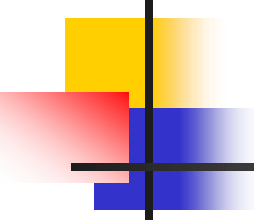
Importance of teamwork

- When trying to complete some tasks, teams may be more effective than an individual.
- They offer the ability for individuals to get to know their team members and develop working relationships. Teams allow organizations to develop a strong culture that incorporates the needs and expectations of all of its members.
- Teams cut much of the bureaucratic structure that accompanies traditional organizations and offer greater flexibility and speed in the decision-making processes, when they are empowered to make decisions.



Frequently asked questions about group structure

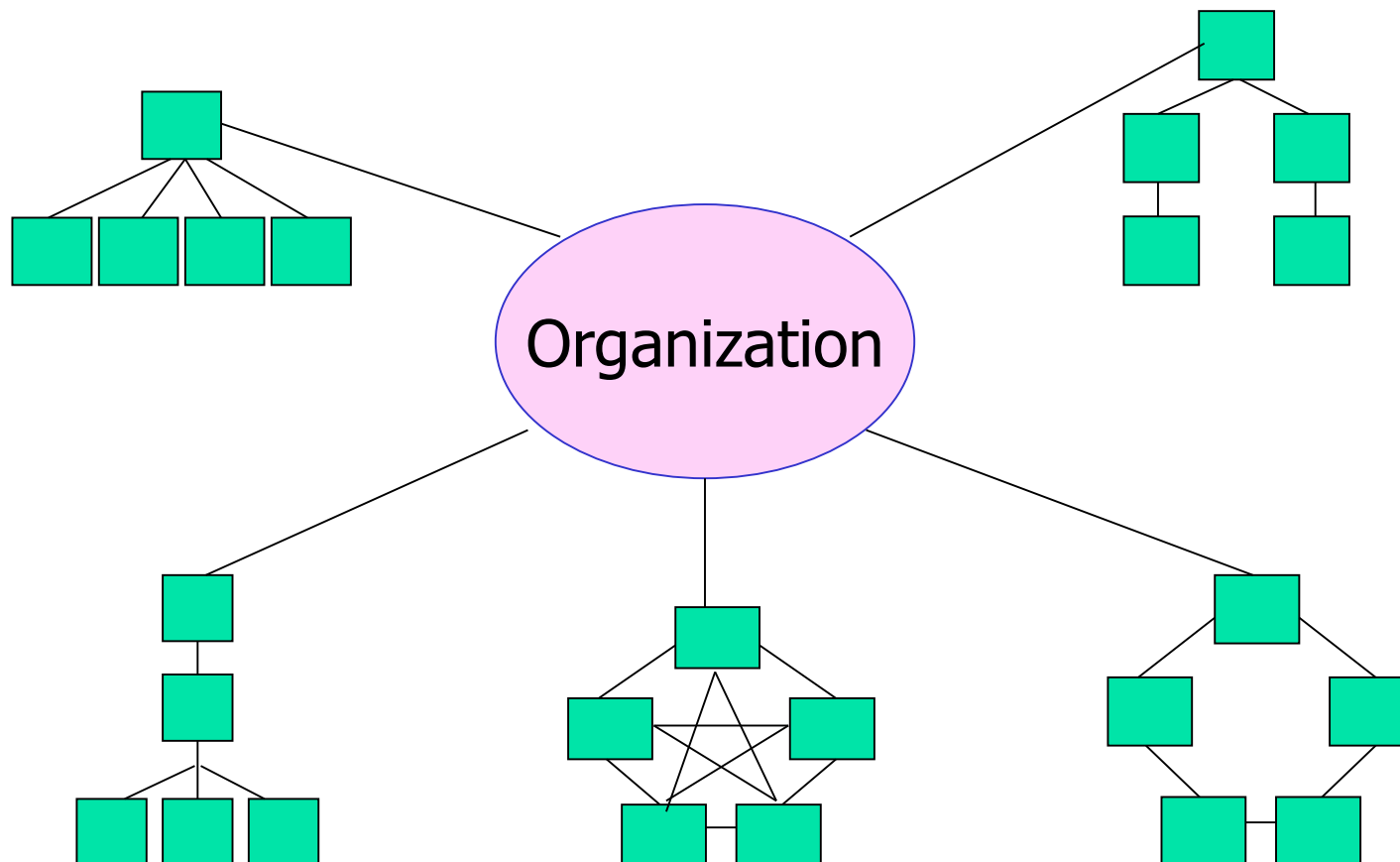
- What are we trying to accomplished?
- What need to be done?
- Who should do what?
- How should we make decisions?
- Who is in charge?
- How do we coordinate efforts?
- What do individual members care about most: time, quality, participation?
- What are the special skills and talents of each group members?
- What is the relationship between this group and others?
- How will we determine success?



Group & Team Formation

- One Boss
- Dual Authority
- Simple Hierarchy
- Circle Network
- All-channel Network

Group & Team Formation





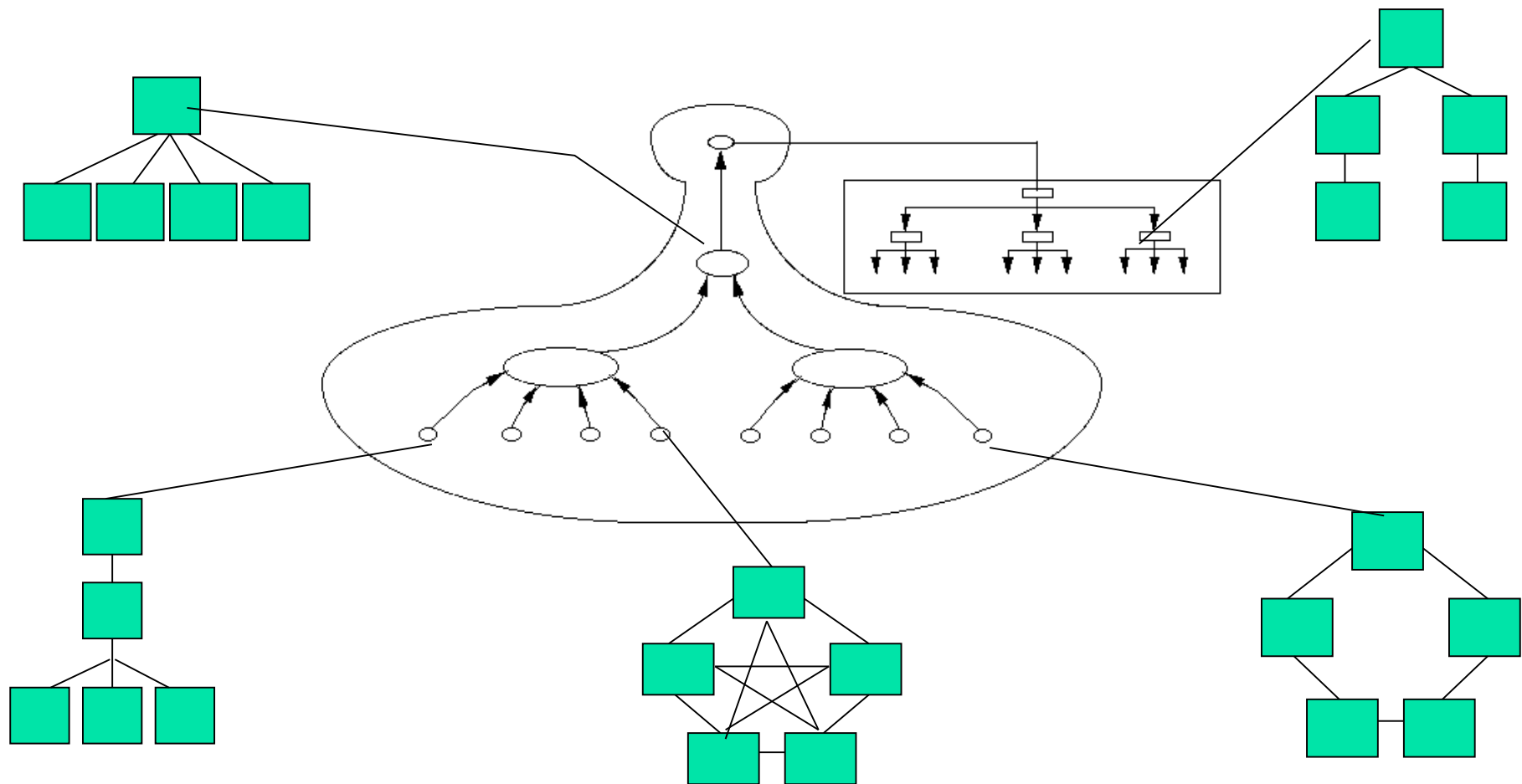
“An organization structure is largely determined by the variety one finds in its environment.”

Environmental Determinants of Organizational Structure

$$\text{Environmental Variety} = \text{Complexity} \times \text{Pace of Change}$$

	Simple	Complex
Stable	Machine Bureaucracy Standardized Work Processes and Outputs	Professional Organization Standardized Skills and Norms
Dynamic	Entrepreneurial Startup Direct Supervision	Adhocracy Mutual Adjustment

Mintzberg & Team Formation



Mintzberg's 5 Basic Parts of an Organization



Basic Subunits	
Subunit	Example positions from a manufacturing firm.
Strategic Apex	Board of Directors, Chief Executive Officer
Technostructure	Strategic Planning, Personnel Training, Operations Research, Systems Analysis and Design
Support Staff	Legal Counsel, Public Relations, Payroll, Mailroom Clerks, Cafeteria Workers
Middle Line	VP Operations, VP Marketing, Plant Managers Sales Managers
Operating Core	Purchasing Agents, Machine Operators, Assemblers, Sales Persons, Shippers



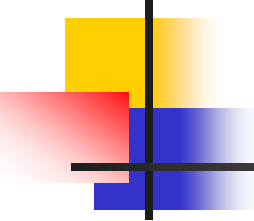
Summary of Mintzberg

TABLE 15.4 MINTZBERG'S FIVE ORGANIZATIONAL FORMS: A SUMMARY

Mintzberg has identified five distinct organizational designs, each of which is likely to occur in organizations in which certain groups are in power.

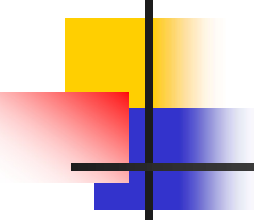
DESIGN	DESCRIPTION	DOMINANT GROUP	EXAMPLE
Simple structure	Simple, informal, authority centralized in a single person	Strategic apex	Small, entrepreneurial business
Machine bureaucracy	Highly complex, formal environment with clear lines of authority	Technostructure	Government office
Professional bureaucracy	Complex, decision-making authority is vested in professionals	Operating core	University
Divisionalized structure	Large, formal organizations with several separate divisions	Middle line	Multidivisional business, such as General Motors
Adhocracy	Simple, informal, with decentralized authority	Support staff	Software development firm

(Source: Based on suggestions by Mintzberg, 1983; see Note 37.)



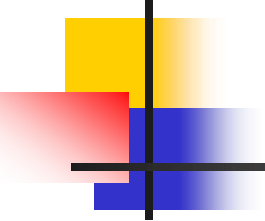
Team Structure and Top Performance

- High-performing teams shape purpose in response to a demand or an opportunity placed in their path, usually by higher management
- High-performing teams translate common purpose into specific, measurable performance goals
- High-performing teams are of manageable size
- High-performing teams develop the right mix of expertise
- High-performing teams develop a common commitment to working relationships
- Members of high-performing teams hold themselves collectively accountable



Structural deficiencies

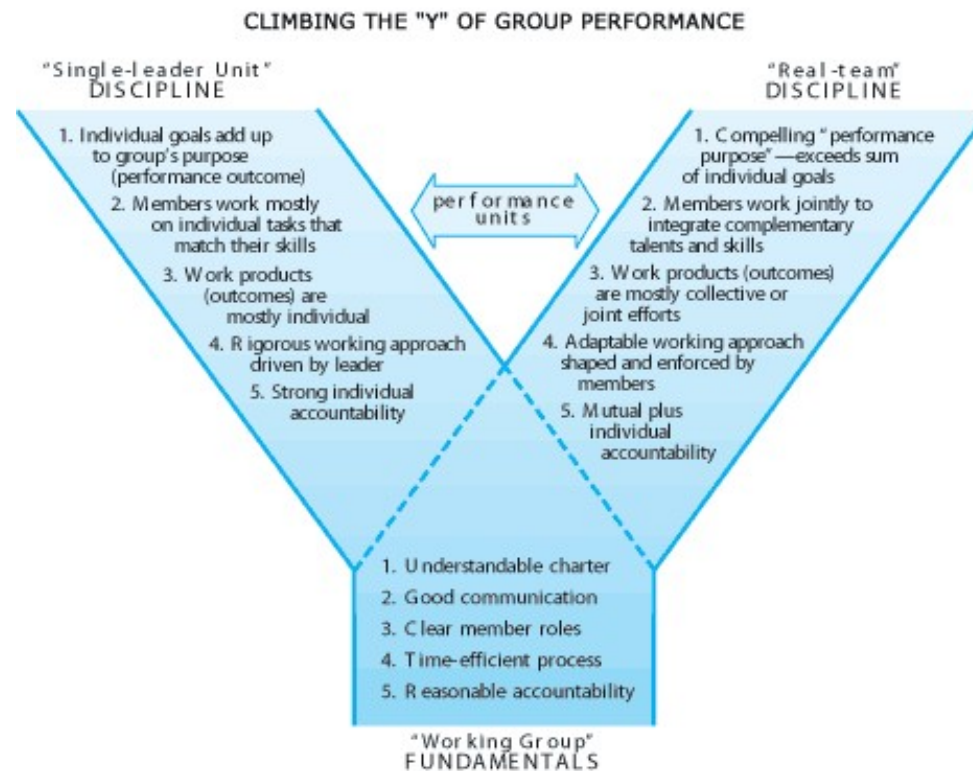
- Disorderliness, weak coordination
- Inconsistent and arbitrary operation
- Insufficient delegation/clarity
- Slow decision making
- Conflict and division
- Innovative weakness and neglect of direct/change
- Redundancy and capacity gaps
- Creeping inefficiencies
- Membership and morale problems

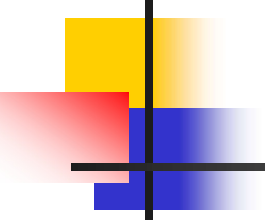


Virtual Teams

Virtual teams consist of people who can
“work with any person from any enterprise
in any place at any time on any challenge.”

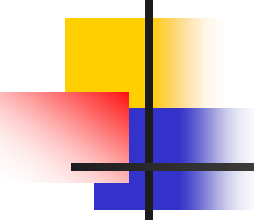
Single leader discipline vs. Team discipline





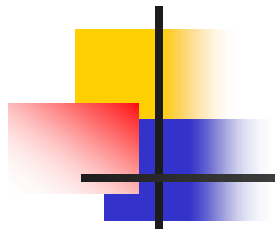
Practical Pointers for virtual work groups

- Convene a face-to-face meeting early on
- Make conscious choices about disciplines
- Match member skills and perspectives to collective work products
- Hold face-to-face sessions as often as needed
- Consciously shift and share leadership roles
- Pick and practice groupware features together
- Agree on your own netiquette

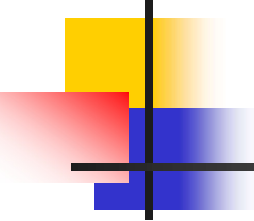


Class Discussion

- What types of structural dilemmas does your organization face?
- How would you classify your project company according to Mintzberg's model (e.g. simple, machine bureaucracy, professional bureaucracy, divisionalized, advocacy).
- Where would you place key persons/departments in the organization in the "5 Basic Parts of the Organization" model?
- Which principles are used in the company to departmentalization (dividing people into groups or departments)
- How does the organizational structure influence *other* processes and/or systems in the organization?
- What is the most critical challenge facing your workgroup- should this challenge be met by single-leader or team discipline?



Q & A



Sources

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